H.J. Baker & Bro., LLC

AP Invoice Processing Platform

Statement of Work

Scope, deliverables, delivery approach, responsibilities, commercials and acceptance for the implementation. Product functionality is defined in the companion PRD.

7 August 2026

Prepared by Alferix

Document control

Document information

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Revision history

Version	Date	Author	Summary of change
1.0	31 Jul 2026	Alferix	First issue
1.1	7 Aug 2026	Alferix	Restructured to a standard delivery-focused SOW; product functionality now referenced from the PRD rather than repeated

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1 Executive summary

Purpose

This Statement of Work (SOW) defines the scope, deliverables, implementation approach, responsibilities, commercial terms and acceptance criteria for the development and delivery of the AP Invoice Processing Platform for H.J. Baker & Bro., LLC.

The platform automates the accounts-payable pipeline end to end, from document intake through extraction, coding, matching and posting into Sage X3, so that manual data entry and line coding are largely eliminated and the AP team's effort shifts to approval and final review. This engagement covers the development, delivery and handover of that platform.

This SOW should be read together with the Product Requirements Document (PRD v1.1). Where a conflict exists, **the PRD defines product functionality and this SOW defines the engagement.**

Table 1. *Engagement at a glance*

Model	Fixed-price development and delivery of the AP platform, with handover to H.J. Baker
H.J. Baker's role	Approval and final review
Implementation	16 weeks from kickoff to go-live, then a 30-day warranty and support period
Supplier	Alferix
Governs functionality	Product Requirements Document v1.1

2 Project objectives

The engagement exists to deliver the following business outcomes, measured at the end of the 30-day warranty period.

- Replace Blue Creek (Vision360), and the manual data-keying and coding it depends on.
- Automate end-to-end AP processing: intake, extraction, coding, matching and posting, so that manual data-keying and coding are largely eliminated.
- Leave H.J. Baker with approval and final review only.
- Increase straight-through processing of routine invoices.
- Integrate directly with Sage X3 for master data, document creation and payment feedback.
- Improve operational visibility and auditability across all AP activity, standardised across the seven operating companies.

Table 2. *Success measures*

Objective	Measure	Target
Reduce manual coding	Lines requiring manual entry	Under 15% of all lines

Objective	Measure	Target
Straight-through processing	PO invoices reaching approval with no human edit	70% or better
Classification accuracy	Documents routed to the correct queue without human correction	95% or better
Cycle time	Arrival to Sage document created, median	Under one working day
Nothing lost	Documents in a queue with no owner and no next action	Zero

3 Scope of work

Scope covers the development, delivery and handover of the AP platform. The functional behaviour the platform provides is specified in the PRD; Section 5 below maps each functional area to its PRD section.

3.1 Included

- **Handover and knowledge transfer** to the H.J. Baker AP team at go-live, so the team can run approval and final review with confidence.
- Solution design and technical architecture.
- User-interface development for the queues, document detail, search and administration screens.
- Backend development of the processing engine and the five document flows.
- AI extraction and OCR integration for header and line capture with per-field confidence.
- AI classification and rule-based routing.
- Sage X3 integration, master-data reads, document creation with attachment, and payment feedback.
- Approval workflow, including hierarchy, limits, delegation and AP final review.
- Dashboards and reporting.
- User and role management.
- Testing, system integration testing and support for user acceptance testing.
- Deployment to the client's environments.
- A 30-day warranty and support period (hypercare) following go-live.

3.2 Excluded

- Customisation or development inside Sage X3.
- Cloud infrastructure and ongoing hosting: the platform runs in H.J. Baker's Azure subscription. Indicative monthly running costs, with SQL Database hosting options, are set out in Section 14.
- Vendor onboarding and supplier master maintenance.
- Data cleansing of existing master or transactional data.

- Historical data migration from Blue Creek beyond open in-flight items.
- User training beyond the agreed enablement sessions.
- Purchase-order creation, which is confirmed as manual (PRD Section 5).

4 Deliverables

Each phase produces a defined, acceptable deliverable.

Table 3. *Deliverables by phase*

Phase	Deliverable	Description
Discovery and design	Solution design and architecture	Validated requirements, confirmed Sage integration contract, PRD baseline, approved screen designs and API design
Development	AP platform	The working platform: engine, five flows, AI extraction and classification, UI
Integration	Sage X3 interfaces	Live master-data reads, document creation with attachment, write-back and payment feedback
Testing	UAT build	A tested build with system-integration testing complete and UAT supported
Deployment	Production release	The platform deployed and live for the first company, then rolled out
Closure	Documentation and handover	Administrator and user documentation, runbooks and knowledge transfer

5 Product scope

The product functionality delivered under this engagement is specified in the **Product Requirements Document version 1.1** and is not restated in this SOW. The functional areas in scope, and where each is defined, are listed below.

Table 4. *Functional scope and where it is defined*

Functional area	Defined in the PRD
PO invoice processing	Section 5.1
Non-PO processing	Section 5.2
Prepayments	Section 5.3
Credits	Section 5.4
Rebills	Section 5.5

Functional area	Defined in the PRD
Intake, extraction and classification	Section 4
Search and audit	Section 6
Reporting	Section 3
Administration: routing rules, templates, reference lists, users	Sections 4 and 6

> **Precedence.** Where this SOW and the PRD differ, the PRD governs product functionality and this SOW governs delivery. Anything not documented in the PRD, or in an approved change request, is out of scope (Section 13).

6 Project phases

Five phases, delivered in short increments with a working system demonstrated at the end of each.

Table 5. *Phases and their deliverables*

Phase	Focus	Key deliverables
1. Discovery and design	Confirm requirements and the Sage contract, and design the solution	Workshops; requirement validation; PRD baseline; UX, architecture and API design
2. Development	Build the platform	Core platform; AI engine; Sage integration
3. Testing	Prove it works	System integration testing; user acceptance testing; defect resolution
4. Go-live	Deploy and stabilise	Production deployment; 30-day warranty support

7 Timeline

Indicative durations from an agreed kickoff. Phases overlap where dependencies allow; dates firm up at the end of Discovery.

Table 6. *Indicative timeline*

Phase	Duration
Discovery and design	2 weeks
Development	10 weeks
Testing	3 weeks
Go-live	1 week
Total to go-live	16 weeks

The 30-day warranty and support period runs after go-live (Section 12). All seven operating companies go live together in a single cutover.

7.1 Key milestones and gates

Each milestone is a gate: the engagement does not proceed past it until its condition is met and accepted.

Table 7. *Delivery milestones*

Milestone	When	Gate, accepted when
Design sign-off	End of Discovery and design	Solution design, architecture and the PRD baseline are approved, and the Sage integration contract is confirmed
Integration proven	During Development	A purchase invoice and a credit memo are created in the Sage test instance with attachment and number returned
Development complete	End of Development	All five document flows are demonstrated end to end and system-integration testing has passed
UAT sign-off	End of Testing	The client test pack passes with no open critical or high-severity defects
Go-live (all companies)	Go-live	All seven operating companies are processing production documents into Sage
Warranty complete	Go-live + 30 days	30 days in production; the objective measures (Section 2) are reported

8 Roles and responsibilities

Both parties commit named people for the duration of the engagement.

Table 8. *Responsibilities*

H.J. Baker & Bro., LLC	Alferix
Approval and final review of documents before they post to Sage	Design, build, integration, testing and deployment of the platform
Review and update any document whose extraction or classification confidence falls below the threshold	Route below-threshold documents to review and apply the corrections on re-run
Business decisions and timely sign-off	AI extraction and classification, matching, and the five document flows, per the PRD

H.J. Baker & Bro., LLC	Alferix
Master data and configuration inputs (hierarchy, limits, templates, mappings)	Approval workflow, dashboards, reporting and administration
Azure subscription, hosting and infrastructure for the platform	Configuration of routing rules, templates and reference data during implementation
Sage X3 access and Sage-side support (with Net at Work); UAT by named SMEs; network connectivity to Sage	Handover, documentation and training; 30-day warranty and defect correction after go-live

8.1 Governance

The engagement is run through a light, regular governance rhythm so decisions are made when they are needed and progress is visible throughout.

- **Weekly working session**, the Alferix engagement lead with the H.J. Baker AP team: progress, decisions needed, and a look at what was built.
- **Fortnightly increment review**, a working demonstration; each increment is accepted or its gaps are listed.
- **Monthly steering**, with the project sponsor, covering scope, budget, timeline and risk.
- **Shared decision log**, every open decision carries an owner and a due date; a decision not made by its date becomes a tracked risk.
- **Net at Work coordination**, a standing item, because the Sage integration is the largest external dependency.

9 Assumptions

If an assumption proves untrue, its impact is handled through change control (Section 13).

- Sage X3 exposes the required APIs for master-data reads and document creation, and Net at Work is available to confirm the contract.
- The environments the platform runs in are available in H.J. Baker's Azure subscription.
- Client subject-matter experts are available for workshops, validation and UAT.
- Decisions and approvals are provided within the agreed service level.
- Configuration data is supplied by the client as data, not derived from documents.
- Document volumes and profile are as stated in the PRD (Section 1).
- Extraction uses the Claude API, as costed in Section 14.

10 Dependencies

Delivery depends on the following parties and services being available when needed.

Table 9. *Dependencies*

Dependency	Needed for
Sage team (client)	Access, test data and Sage-side coordination
Net at Work	Confirming the Sage X3 API contract and Sage configuration
Microsoft 365	AP mailbox access and single sign-on
Microsoft Azure (compute and SQL Database)	The runtime the platform is deployed into, in H.J. Baker's Azure subscription
AI extraction service (Claude API)	Extraction of header and line data

11 Acceptance criteria

The project is accepted when the following are met. Feature-level acceptance is defined in the PRD (Section 9), with the document types it applies to in Section 5.

- User acceptance testing is completed against the agreed test pack.
- All critical and high-severity defects are closed; lower-severity defects are logged with an agreed plan.
- Production deployment is completed and all seven operating companies are processing live documents into Sage.
- All contracted deliverables (Section 4) are submitted and accepted.

H.J. Baker has five working days from delivery of each milestone to accept it or to state specific deficiencies in writing; absent either, the milestone is deemed accepted.

12 Support and warranty

Alferix provides a **30-day warranty and support period** from go-live, covering defect resolution and close support for the AP team. Defects against this SOW and the PRD reported within this 30-day period are corrected at no charge.

Table 10. *Severity matrix and response*

Severity	Definition	Response	Resolution target
1. Critical	Processing stopped; no workaround	2 business hours	1 business day
2. High	Major function impaired; workaround exists	4 business hours	3 business days
3. Medium	Minor function impaired	1 business day	Next release
4. Low	Cosmetic or advisory	2 business days	Scheduled

13 Change management

Any requirement not documented in the PRD, or not covered by an approved change request, is treated as out of scope and managed through the change-request process.

No change is implemented until it is approved in writing by both the H.J. Baker business owner and the Alferix engagement lead. Minor changes under an agreed threshold are absorbed within the increment at no charge, so small course corrections do not each become paperwork.

Table 11. *What a change request records*

Field	Description
Change	What is changing, and the business reason for it
Effort	Impact in person-days
Schedule	Impact on the timeline and any dependent milestones
Cost	Impact on the fee, at the agreed day rates
Approval	Written approval by both parties before any work starts

14 Commercials

This engagement is a fixed-price development and delivery of the AP Invoice Processing Platform. A single one-time fee covers design, build, integration, testing, deployment and handover. Cloud infrastructure and AI services run in H.J. Baker's Azure subscription and are billed directly by the providers; an indicative monthly running cost, with SQL Database hosting options, is set out below for planning.

Table 12. *Development and delivery fee*

Item	Fee
Development and delivery of the platform (one-time, fixed price)	USD 63,760

14.1 Indicative infrastructure and AI running cost

The platform runs in H.J. Baker's Azure subscription. The figures below are an approximate monthly running cost at the target volume of about 3,000 documents (30,000 pages) a month, based on current cloud and AI service list prices, and are provided for planning only. These services are billed directly to H.J. Baker by Microsoft Azure and the AI provider.

Table 13. *Approximate monthly running cost, excluding SQL Database (USD)*

Component	Configuration	Monthly
Frontend	Static Web Apps, Standard, base plus bandwidth	$12
Backend	App Service P2v3 Linux, 4 vCPU and 16 GB	$220

Component	Configuration	Monthly
File storage	Blob, geo-redundant, tiered, with transactions and data protection	$38
Platform services	Key Vault, Azure Monitor and Application Insights, backup	$35
AI engine	Claude Sonnet, real-time API with prompt caching, classification and extraction	$370
Subtotal, excluding SQL Database		$675

The SQL Database can be hosted in more than one way, from a fully managed Azure SQL Database bought directly from Azure to SQL Server running on a virtual machine that H.J. Baker manages. Indicative monthly costs are set out below. The total monthly running cost is the subtotal above plus the option chosen.

Table 14. *SQL Database hosting options (USD per month)*

Hosting option	What it is	Monthly
Azure SQL Database, serverless (General Purpose)	Fully managed; auto-scales with load and pauses when idle; lowest cost for variable volume	~$180
Azure SQL Database, provisioned (General Purpose, 2 vCore)	Fully managed; fixed capacity for steady load	~$250
Azure SQL Database, provisioned (General Purpose, 4 vCore)	Fully managed; headroom for higher volume	~$470
Azure SQL Database, Business Critical (2 vCore)	Fully managed; high availability with built-in replicas and fast local SSD storage	~$470
Azure SQL Managed Instance, General Purpose (4 vCore)	Fully managed instance with near-complete SQL Server compatibility and VNet isolation; 4 vCore minimum	~$490
SQL Server on an Azure virtual machine	Self-managed on a D4s v5 VM with premium SSD; H.J. Baker runs the operating system, patching and backups; SQL licence via Azure Hybrid Benefit or license-included	~$180 plus SQL Server licence

On this basis the total indicative monthly running cost is about $855 a month with a serverless database and about $925 with a provisioned 2 vCore database, both suited to this volume. The higher-availability and Managed Instance options (Business Critical, 4 vCore or Managed Instance) raise the total to roughly $1,150 a month.

14.2 Sandbox environment

A separate sandbox (non-production) environment is recommended for configuration changes, testing and training. It runs on smaller service tiers than production, at roughly a third of the production cost, and is billed the same way in H.J. Baker's Azure subscription; it can be scaled down or paused when not in use.

Table 15. *Approximate monthly cost, sandbox environment (USD)*

Component	Configuration	Monthly
Frontend	Static Web Apps, Standard	$12
Backend	App Service B3 Linux, 4 vCPU and 7 GB	$49
Database	Azure SQL, serverless (General Purpose), auto-pause when idle	$70
File storage	Blob, locally redundant	$12
Platform services	Key Vault, Azure Monitor and Application Insights	$20
AI engine	Claude Sonnet, real-time API, test and UAT usage	$100
Total per month		$263

14.3 Payment milestones

The one-time development and delivery fee of $63,760 is invoiced against the two milestones below.

Table 16. *Payment schedule*

Milestone	Share of fee
Contract signature	50%
Production go-live	50%
Total	100%

14.4 Invoicing

- The development and delivery fee is invoiced at the two milestones above.
- Payment terms are 30 days from the date of invoice.
- Cloud infrastructure and AI services are billed directly to H.J. Baker, in its own Azure subscription, by Microsoft Azure and the AI provider.
- All figures are in US dollars and exclusive of applicable sales, use, VAT and GST taxes.

15 Sign-off

By signing below, the parties agree to the scope, deliverables, timeline and commercials set out in this Statement of Work, read together with the Product Requirements Document v1.1.

Signed for and on behalf of the parties below.

H.J. BAKER & BRO., LLC

Project Sponsor

Name and title

Signature

Date

Project Manager

Name and title

Signature

Date

ALFERIX

Project Manager

Name and title

Signature

Date

Delivery Head

Name and title

Signature

Date